

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-10

**REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 017843 – WASHINGTON MOVERS, INC.**

**OPENING BRIEF
OF THE
BUREAU OF ENFORCEMENT**

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Pursuant to the Order of Chief Administrative Law Judge Clay G. Guthridge (ALJ) served April 5, 2017, the Bureau of Enforcement (BOE) files this Opening Brief. Also being filed herewith under separate covers are BOE's Proposed Findings of Fact, and Appendix as provided in the ALJ's Order on October 13, 2016, Telephone Status Conference served October 19, 2016.

I. PRELIMINARY MATTERS

A. BOE submits for inclusion in the record the following additional Exhibits identified in accordance with the ALJ's Order On October 13, 2016, Telephone Conference, served October 19, 2016:

BOE Ex. 32 Copy of the initial title and signature pages of MSC service contract no. 13-306WW and relevant amendment. This service contract is referenced in Finding of Fact 18, but was not included as an exhibit. The existence of the contract and its contents have not been controverted. A copy of the described pages of the contract from the Commission's service contract database is submitted to provide a complete record in this proceeding.

BOE Ex. 33 Copy of page from U.S. Bureau of Prisons website indicating release date of Sam Ghanem submitted as a matter of information stated in BOE's brief.

BOE Ex. 34 Table comparing language of relevant regulations before and after the Dec. 9, 2015 effective date of amendments to the Commission's regulations at 46 C.F.R. Part 515. Submitted as part of BOE's response to the ALJ's request to address impact of these amendments on this proceeding.

BOE Ex. 35 Table addressing the effect of the amendments to 46 C.F.R. Part 515 that became effective Dec. 9, 2015. Submitted as part of BOE's response to the ALJ's request.

BOE Ex. 36 Copies of pages labeled viii, ix, xii, and xiv, of Washington Movers initial FMC-18 application to the Commission. The tendered pages contain the questions and Washington Movers' responses thereto with respect to the information provided to the Commission in Respondent's FMC-18 application.

The exhibits identified above are included in BOE's Appendix filed herewith. Each page in the Appendix bears a Bates number in the lower right corner. BOE respectfully requests that BOE Exhibits 32 -36 be admitted.

B. BOE's proposed findings of fact (PFF) are also filed herewith. They are referred to in this brief as BOE PFF ____.

C. The ALJ requested BOE to address in this brief the effect on this proceeding, if any, of the Commission's November 15, 2015, amendments to 46 C.F.R. Part 515, effective Dec. 9, 2015. BOE addresses the issue in section IV. E., *infra*. Reference to a relevant regulation in this brief will include appropriate commentary to identify it as pre- or post-amendment regulation, and any corresponding section.

II. INTRODUCTION

This is a license revocation proceeding. At issue is whether an ocean transportation intermediary's (OTI) license should be revoked based on the federal conviction of the company's sole owner, President, and Qualifying Individual (QI) for the attempted illegal smuggling of weapons under auspices of the licensee's OTI operations and the licensee's demonstrated pattern of non-compliance with the Commission's regulations. The company's history of non-compliance coupled with the QI's federal convictions demonstrate a corporate culture of disdain for the law

and its regulatory responsibilities. Based on the facts presented, revocation is clearly warranted by the Shipping Act, Commission regulations, and established precedent.

III. PROCEDURAL BACKGROUND

This proceeding was commenced by the Commission's Order To Show Cause, served October 8, 2015, directing Washington Movers, Inc.¹ (Washington Movers or Respondent) to show cause why its ocean transportation intermediary (OTI) license should not be revoked based on the felony conviction of Sam Ghanem, the sole owner, officer, director, and Qualifying Individual (QI) of Respondent, and various regulatory violations. BOE was made a party to the proceeding. Following separate responses to the Order To Show Cause by Respondent and BOE, the Commission, on February 12, 2016, issued an Order Regarding Preliminary Issues which, among other things, assigned the matter to the Office of Administrative Law Judges to consider whether further submissions were necessary; determine whether an evidentiary hearing was warranted; make factual findings; and issue an initial decision regarding revocation of Washington Movers' OTI license.²

On February 18, 2016, the ALJ issued an Initial Order directing the parties to identify further submissions believed necessary to complete the record; state what paper discovery and depositions were necessary, if any; and state whether an evidentiary hearing was warranted and, if so, the factual issues that must be resolved to be accompanied by a preliminary witness list.

¹ As discussed, *infra*, Respondent changed its name in 2008 to Washington Movers International, Inc. However, this event was not reported to the Commission and the license remained in the company's original name. We will continue to refer to the original name.

² The Commission's Order also granted Respondent's motion to file a reply and denied a request to intervene by Norma Ghanem.

Following the parties' responsive submissions, a status conference was held on March 23, 2016. As a result of the status conference, the ALJ identified and admitted the parties' exhibits previously submitted and issued 56 preliminary findings of fact. *See Exhibits and Preliminary Findings of Fact*, served March 25, 2016. On the same day, the ALJ served a discovery schedule and directed Washington Movers to serve and file certain specified documents as agreed at the status conference.

BOE served discovery on April 13, 2016, consisting of interrogatories, requests for admissions, and requests for production of documents. On or about May 13, 2016, Washington Movers served its responses to the discovery. On June 13, 2016, BOE filed and served a Motion for a Determination of Insufficiency of Request for Admission Responses and To Compel Response to Interrogatories and Requests for Production (Discovery Motion). On July 27, 2016, the ALJ issued a Partial Ruling On BOE's Discovery Motion Filed June 13, 2016, and Order to Supplement the Record. The ALJ directed Respondent to supplement the record by identifying the person who signed Washington Movers' federal and state tax returns for 2013 and 2014, and if other than Sam Ghanem, to serve and file copies of the cover and signature pages of the tax returns. Respondent was also directed to identify the authorized signers for the Industrial Bank account for the period November 12, 2014 through August 14, 2015, to identify all Washington Movers' financial accounts between Jan. 1, 2014 and the present, and provide copies of all signature cards for all accounts. The ALJ directed BOE to supplement the record with copies of service contracts and amendments between Washington Movers and ocean common carriers that were signed by Sam Ghanem in 2014 and 2015.

Subsequently, the ALJ identified and admitted additional exhibits of the parties, revised certain of the previous preliminary findings of fact served March 25, 2016, and issued additional

preliminary findings of fact numbered 57 – 68. *See* Changes to Preliminary Findings Of Fact, Identification Of Second Set of Exhibits, And Second Set of Preliminary Findings Of Fact, served September 12, 2016. On the same date, the ALJ issued an Order For Washington Movers To Supplement The Record ordering Respondent to respond to specified questions and provide certain documents.

On the basis of Washington Movers' response to the ALJ's Order served July 27, 2016, the ALJ issued an Order on October 3, 2016, directing Washington Movers to serve and file copies of the cover and signature pages of Washington Movers' federal and state tax returns for 2013.³

Following a telephonic status conference on October 13, the ALJ served an Order on October 19, 2016 memorializing the agreements reached during the telephone conference resolving remaining discovery disputes and granting Washington Movers' request for an oral hearing to adduce the testimony of Norma Ghanem. The ALJ issued two additional documents on the same date. One was labeled Findings of Fact – October 19, 2016, containing 69 findings of established facts. The other document, labeled List Of Exhibits – October 19, 2016, identifies BOE Exhibits 1 – 31, and Washington Movers' Exhibits WM. Ex. A – W used at the oral hearing.

On November 9, 2016, oral hearing was held at Commission headquarters. Norma Ghanem was examined by Respondent's counsel and cross examined by BOE. On November 10, 2016, the ALJ issued a Notice of Filing identifying BOE Exhibits 1 – 31 and Washington Movers' Exhibits WM. Ex. A – W as being admitted.

On April 5, 2017, the ALJ issued an Order memorializing the discussions in a telephone status conference held on the same date, setting forth a briefing schedule, identifying Washington Movers' 2013 and 2014 corporate tax returns as exhibits, and directing BOE to address in its brief

³ Though the Oct. 3 Order did not refer to the 2014 tax return, a copy of the signed 2014 tax return remained subject to BOE's outstanding discovery request as well as the ALJ's Order served July 27, 2016, *supra*.

the effect, if any, of the Commission's November 15, 2015 amendments to 46 C.F.R. Part 515 that became effective December 9, 2015. On April 6, 2017, the ALJ issued a Notice of Filing – List of Additional Exhibits – April 6, 2017, admitting Washington Movers' exhibits WM. Ex. X and WM. Ex. Y.

IV. ARGUMENT

A. The Appropriate Burden and Standard of Proof

Section 19(a) of the Shipping Act, 46 U.S.C. § 40901, governs the licensing of ocean transportation intermediaries (OTIs). Section 19(c), 46 U.S.C. § 40903, provides in relevant part that the Commission:

. . . after notice and opportunity for hearing, shall suspend or revoke an ocean transportation intermediary's license if the Commission finds that the ocean transportation intermediary – (1) is not qualified to provide intermediary services . . .

The Commission's implementing regulations provide in relevant part that a license may be revoked for violation of the Act or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary; or where the Commission determines that the licensee is not qualified to render intermediary services. 46 C.F.R. § 515.16(a)(1), (4) (same citation and language before and after 2015 amendments, see BOE Ex. 34).

The proponent of a rule or order has the burden of proof. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155. A party alleging a violation of the Shipping Act has the burden to establish the violation. Docket No. 15-03, *John T. Barbour, et al. – Possible Violations*, __ S.R.R. __ (ALJ 2016) (slip op. at 6, served Jan. 20, 2016) (Notice Not To Review served Feb. 23, 2016). BOE, as the proponent of an order revoking the license of Washington Movers, has the burden of proof.

Properly understood as the burden of persuasion, *see Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994), the party with the burden in an administrative proceeding must prove its case by a preponderance of the evidence. *Portman Square Ltd. – Possible Violations*, 28 S.R.R. 80, 84 (ALJ 1998). A preponderance of the evidence means that the evidence makes the existence of a fact more probable than not. *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 15 (ALJ 1991). It is also appropriate to draw inferences from certain facts when direct evidence is not available and circumstantial evidence may be sufficient. *Waterman Steamship Corps. V. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993).

BOE submits that the evidence of record in this proceeding clearly establishes that the license of Washington Movers should be revoked in accordance with the provisions of the Shipping Act, Commission regulations, and settled precedent.

B. Sam Ghanem's Actions Warrant Revocation of Respondent's License

Sam Ghanem (Ghanem) was arrested, indicted, and convicted for two different federal felonies, *viz.*, the attempted unlawful export of defense articles in violation of the Arms Export Control Act, 22 U.S.C. § 2778; and smuggling goods from the United States in violation of 18 U.S.C. § 554. (FF 19-20, 22, 24, 26; BOE Ex. 1-2.) These crimes are directly related to Respondent's OTI business and, in fact, committed through the conduct of its OTI business. Prohibited activities under the Arms Export Control Act are defined to include the transportation, freight forwarding, or taking of any other action that facilitates the export of a defense article. Prohibited smuggling under 18 U.S.C. § 554 captures any attempt to export from the United States any article or object contrary to any law of the United States or the knowing facilitation of transportation or concealment prior to exportation contrary to any law of the United States.

At the time of his arrest, Ghanem was the sole owner and President of Washington Movers and its Qualifying Individual (QI). (FF 2, 8, 31, WM. Ex. A, B.) In carrying out the acts for which he was convicted, Ghanem acted under the auspices of Washington Movers. He and Washington Movers' employees concealed weapons in the doors and cut-up parts of salvaged motor vehicles and loaded the vehicles into a shipping container located at Washington Movers' facility. (FF 13.) The shipment containing this contraband was booked with the ocean carrier, Mediterranean Shipping Company (MSC) in Washington Movers' name by a Washington Movers' employee. (FF 15-16; BOE PFF 3, 5.) MSC issued a booking confirmation for the shipment containing the illicit articles identifying Washington Movers as the shipper of the container. (FF 15-16.) A dock receipt was issued for the shipment containing the smuggled weapons showing Washington Movers and its FMC license number as the exporter of the container. (FF 14; BOE Ex. 3.) The shipment for which Ghanem was arrested was booked for ocean transportation under service contract no. 13-306WW, a contract between MSC and Washington Movers. (FF 18; BOE Ex. 32.)

There can be no serious doubt that Respondent was the instrumentality through which Ghanem committed the crime for which he was convicted. Ghanem used Washington Movers in its capacity as a licensed non-vessel-operating common carrier (NVOCC) to move the subject shipment. All requisite arrangements were made by and through Respondent just like any other of its NVOCC shipments. The shipment was booked by Respondent's employee, in Respondent's name, shipment documents were issued showing Respondent as shipper, the cargo was loaded by Respondent's employees into an ocean going container, all work being performed at Respondent's facility. Ghanem was the sole owner, President and QI of the company and actively engaged in its business. In this posture, Respondent cannot disavow knowledge of Ghanem's conduct.

The Commission's regulations impose full responsibility on a licensee for the acts and omissions of its employees and agents performed in connection with the conduct of its business. 46 C.F.R. § 515.4(b) (Although there is a minor variation in the pre-amendment language, *see* BOE Ex. 34, the licensee's responsibility is the same before and after the amendments). This imposition of responsibility is not only consistent with the facts of this case, it is an acknowledgment that a corporation can only act through individuals. *See, e.g.,* Docket No. 15-04, *Crocus Investments LLC v. Marine Transport Logistics, et al.*, __ S.R.R. __ (FMC 2017) (slip op. at 13, served March 6, 2017). Similarly, the Commission's regulations measure the character and qualification of a corporate OTI applicant through that of its officers. 46 C.F.R. § 515.11(b) (qualifying individual for a corporation must be at least one active officer) (same language before and after amendment, BOE Ex.34). *See also* Verified Statement of Sandra Kusumoto, BOE Ex. 8, ¶20. The link between the character of the corporation and the character of an individual officer of the company is also reflected in the requirement that corporate licensees notify the Commission of any change in the status or identity of its QI and promptly seek approval of a replacement for an absent QI. 46 C.F.R. § 515.20(a)(5), (c) (*See* BOE Ex. 34, cited post amendment language does not change pre-amendment language).

Washington Movers' qualifications as an OTI flow directly from the character issues surrounding Ghanem. The Commission has long expressed the view that it has a statutory duty to ensure that access to those it regulates is limited to licensees who are fit, willing, and able to conduct their business in accordance with high standards of conduct. *Harry Kaufman d/b/a International Shippers Co. of N.Y. – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. 264, 271 (Examiner, 1972). The Commission has a strong policy interest in revoking an OTI license to protect the shipping community from those who choose not to comply with the

Shipping Act's requirements and to underscore the ongoing and continuous obligation to demonstrate the necessary character to obtain, and retain, an OTI license. *Stallion Cargo, Inc. – Possible Violations*, 29 S.R.R. 665, 684 (FMC, 2001).

The commission of federal offenses rises to the level of the most egregious circumstances warranting revocation. *In the Matter of an Ocean Transportation Intermediary License*, 30 S.R.R. 567, 570 (FMC 2004). The Commission has held that the felony conviction of and participation in an illegal scheme by a company's principal and proposed QI directly impacted the character and fitness of the company to provide ocean transportation intermediary services. In *Falcon Shipping, Inc. and Abdiel Falcon – Application for License as an Ocean Transportation Intermediary*, 32 S.R.R. 382 (FMC 2012), upholding the denial of a license application, the Commission concluded that the applicant lacked the requisite character for issuance of an OTI license based on the facts that the company's principal and proposed QI had been convicted of smuggling under federal law, participated in an illegal scheme, and violated the Shipping Act.

The same standard applies to license revocations. The Commission has stated that revocation is appropriate when the Commission can no longer rely upon the honesty and integrity of the licensee or its principals to the extent necessary to ensure future conduct within the confines of the statute and regulations. *AAA Nordstar Line, Inc. – Revocation of License No. 12234*, 29 S.R.R. 429, 431 (FMC 2001). In that proceeding the Commission ordered revocation of respondent's license based on the felony convictions for mail fraud of its principals as well as their failure to advise the Commission of changes in material facts relating to the licensee's operations and the qualifications of its management. 29 S.R.R. 663, 664 (FMC 2002).

Certainly, as the owner, President and QI of Washington Movers, Ghanem's arrest, indictment, and conviction provide sufficient basis for revocation under the Shipping Act,

Commission regulations, and established precedent. However, as discussed below, Washington Movers compounded the matter by engaging in an apparent legal maneuver designed to internally strip Ghanem of his ownership and managerial control of the company, but to all others outside the company allow him to continue representing the company as its President, all the time concealing that Ghanem was no longer authorized to do so. Not only do these acts, omissions and false representations establish the lack of the requisite character to continue providing OTI service, they put Respondent in violation of a number of Commission regulations as also discussed below. This conduct, all attributable to Respondent, plainly establishes that it does not possess the requisite fitness and character to continue providing OTI service.

C. Washington Movers Concealed Ghanem's Continued Actual Control

Since its initial submission in this proceeding, Washington Movers has taken great pains in urging that Ghanem's control over the company was terminated shortly after his arrest and that Norma Ghanem immediately took over 100% ownership and control of Washington Movers. "Washington Movers is Norma Ghanem's business. As soon as Sam Ghanem's name became associated with possible criminal conduct, Norma Ghanem, along with Washington Movers' staff, took control to preserve the business." (Respondent's Reply To Order To Show Cause, Nov. 2, 2015, p. 2; Motion For Leave To File A Reply To The Bureau Of Enforcement's Memorandum Of Law, Nov. 24, 2015, at 2, ¶ 6-9; BOE Ex. 22, Resp. to Interrogs. 1 and 9.) Norma Ghanem made similar assertions in her testimony emphasizing that it was her decision to take over the company (Tr. of Nov. 9, 2016 Hearing, p.30, ll. 2-3), it was her company not his (Sam's) (Tr. of Nov. 9, 2016 Hearing p. 18, ll. 16-17), and she was in charge (Tr. of Nov. 9, 2016 Hearing p. 13, ll. 12-14).

While legal ownership of the company may have transferred to Norma Ghanem on January 1, 2014, *see* WM. Ex. A and B, all other documents in the record dated prior to Ghanem's incarceration on October 8, 2015, establish that actual operational and directional control of the company remained in Ghanem. Contrary to Respondent's representations in this proceeding, Ghanem continued as the *de facto* face of the company between January 1, 2014 and his surrender on October 8, 2015, a conclusion that is well supported by the record.

Ghanem signed no less than ten documents representing that he was the President of Washington Movers during the period when Respondent asserts he was no longer an officer of the company. These documents consisted of public documents filed with the Commonwealth of Virginia (BOE Ex. 4), service contracts entered with and provided to ocean common carriers in which Washington Movers was committed to fulfilling the terms of those contracts (BOE Ex. 11-12, 14-17), certifications submitted to its bank (WM. Ex. M), and corporate tax returns filed with the United States Internal Revenue Service (WM Ex. X, Y). Ghanem was the only person who signed service contracts on behalf of Respondent. (FF 63-68; BOE PFF 18.) All four of the service contracts signed by Ghanem were used by Washington Movers to ship its OTI cargo. (BOE PFF 31-33, 35.) Ghanem alone opened multiple bank accounts in the name of Respondent. (FF 58-60.) Respondent used the accounts in conducting its OTI business. (BOE PFF 23-30; Tr. of Nov. 9, 2016 Hearing p. 34 ll. 19-21, p.35, ll. 11-13, p.36, ll. 11-16, p. 37, ll. 14-19, p. 39, ll. 13-14.) Between his arrest and incarceration, Ghanem was the sole authorized signatory on Respondent's bank accounts. (FF 58-61.) Not until August 14, 2015, the day judgment and sentencing were entered against Ghanem was Norma Ghanem added to Respondent's only bank account. (FF 26, 61.) Ghanem's letter to the trial court requesting an extension of his surrender date likewise represented to the Court that he was still in control of the company. (FF 56; BOE Ex. 5 at 3.) The

record is thus replete with documented evidence establishing that Ghanem was continuing to represent himself to third parties as President of Washington Movers and that Washington Movers was continuing to hold him out as its President.

Respondent has not presented any evidence to contradict this conclusion. Indeed, it has been less than forthcoming in attempting to address Ghanem's continued involvement with the company business. For example, Washington Movers' current President testified that Ghanem stop working for the company in the beginning of 2014. (Nov. 9 Hearing Tr. p.9, ll. 4 -6.) However, this testimony changed when asked again whether Ghanem had any involvement with the business in 2014, the answer was, "He did some transition". (Nov. 9 Hearing Tr., p. 16, ll. 6-9.) Exactly what Ghanem did during this transition period and how long it lasted is left unexplained. However, the record indicates that Ghanem was representing the company as its President until he went to prison in October 2015.

Washington Movers continued holding out to the public, including the Commission, that Ghanem was its President and ratified every action he took. (BOE PFF 23, 25, 27, 29, 31-33, 35.) Notwithstanding Ghanem's ostensible removal as an officer of the company, Respondent obviously found it advantageous to continue relying on Ghanem's various business relationships and experience and allowed him to continue signing service contracts (FF 63-68), negotiate with the ocean carriers (BOE PFF 34), and handle financial matters through the company's various bank accounts (FF 57-60). By continuing to hold out Ghanem as its President, Respondent was perpetuating a falsehood on the very shipping public that it served.

Faced with this unassailable evidence of record, Respondent's President implied that she was unaware of Ghanem's activities. Norma Ghanem testified that she "learned later" about the service contracts that Ghanem signed, thus suggesting an unawareness of his actions. (Nov. 9

Hearing, Tr., p.16, ll. 9-20, p.27, ll.3-11, p.32, ll. 2-4.) Such a contention is not credible. Norma Ghanem testified that she has been President for the last 3 years, and that her day to day duties include everything that needs to be done such as documentation, working with the ship lines, banking, communicating with customers. (Nov. 9 Hearing Tr., p. 6, ll. 1-18.) Her experience with the company included working with service contracts in matching ship line's invoices with the rates in service contracts. (Nov. 9 Hearing Tr., pp. 7-8, ll. 20-22.) It is hardly believable that the President of a small company who describes her duties as being involved in everything on a daily basis did not know who was signing contracts and making commitments with the ocean carriers on behalf of the company.

Respondent conceded that it moved cargo pursuant to the contracts signed by Ghanem. (BOE PFF 31-33, 35.) Norma Ghanem admitted that she was the person who was supposed to sign contracts during that period. (Nov. 9 Hearing Tr., p. 16, ll. 12-14.) She obviously knew that someone had signed the contracts pursuant to which the company was moving cargo. Norma Ghanem either authorized Ghanem to sign the contracts, was well aware that he was signing them, or took no steps to correct an unauthorized act. In either case, the consequences are the same – Respondent was holding out that Ghanem, rather than his wife, Norma, was running the company. In fact, not until Ghanem's actual surrender does the record contain any documents signed by Norma Ghanem as President of Washington Movers. (WM Ex. E, G, N; BOE Ex. 9, 22.)

The same conclusion can be drawn with respect to Washington Movers' bank accounts. The record is uncontroverted that Respondent allowed Ghanem to open and use company bank accounts. (FF 57-60; BOE PFF 23-29.) Ghanem represented himself as President of the company and the company allowed him to do so. In fact, with respect to the Industrial Bank account, Norma

Ghanem, acting as an officer of the company, represented that Ghanem was President of Respondent. (BOE PFF 21-22).

Washington Movers likewise falsely represented to the Internal Revenue Service that Ghanem was President of the company in 2015. The corporate income tax returns filed for Respondent for 2013 and 2014 were both signed on June 15, 2015, by Ghanem as President of Washington Movers. (WM. Ex. X, Y.)

For the twenty months from the ownership transfer and removal of Ghanem as an officer of the company to the commencement of this action, Respondent did not simply fail to notify the FMC of its change in ownership and circumstances surrounding Ghanem's status as an officer of the company, it knowingly concealed these material facts. (Tr. of Nov. 9, 2016 Hearing p. 30 ll. 4-7, p. 31, ll. 1-7.) This conduct goes beyond mere omissions and crosses over to false representations to the Commission, the shipping public, business customers, the IRS, and state government. Consequently, the honesty, integrity, and character of Respondent's present ownership and management are squarely in issue.

The Commission addressed the lack of honesty of a licensed freight forwarder as grounds for license revocation in *Harry Kaufman d/b/a International Shippers Co. of N.Y.*, *supra*, 16 F.M.C. 264. Harry Kaufman (Kaufman), the licensee, entered a sales arrangement to sell his business and license to another individual, a transaction that required prior Commission approval. The issue before the Commission was whether the parties had effected a transfer of control and ownership of Kaufman's business without Commission approval. While the parties claimed that certain sales contracts established that legal control had not passed, the Commission focused on the question of who actually controlled the business and concluded that the buyer controlled the business without prior Commission approval. "[H]e managed the office...carried on business

relationships...directed operations and policy...apportioned the work...[and] performed the executive duties usually associated with proprietorship and management." *Id.* at 273. Conversely, the record was void of proof that Kaufman "did more than sit in the back of the office." *Id.* at 273. Essentially, after the sale of the business, Kaufman's connection with the business was, in the Commission's words, a "pure formality". *Id.* at 272. As a full and knowing participant in the arrangement to allow the latter to use the license to provide freight forwarding services and to effectively complete the transaction without Commission approval, Kaufman was no longer "fit, willing, and able" to carry on the business of freight forwarding. *Id.* at 272, 276.

Here, transfer of Ghanem's ownership and his removal as an officer of the company was an apparent effort to disassociate Washington Movers from the legal consequences of his illegal actions. At the same time, the company and holder of the license misrepresented to the world that nothing had changed and that Ghanem was still its President in order to enjoy the benefits of his established business relationships. Respondent attempted to have it both ways to protect its own interests. This fundamental lack of integrity and honesty dooms the necessary character to retain its license.

Ghanem was released from prison January 20, 2017. (BOE PFF 36.) Past claims of ownership and control were shown to be bare assertions contradicted by documented facts. Respondent's self-serving assurances that Ghanem will not be a part of Washington Movers (Tr. of Nov. 9, 2016 Hearing p.18 ll. 7-17), lend little support to Respondent's future credibility. *Falcon Shipping, Inc., supra*, 32 S.R.R. at 384.

The actions of Respondent clearly show that the Commission can no longer rely on its honesty and integrity. Revocation of its OTI license is appropriate. *AAA Nordstar Line, Inc.,*

supra, 29 S.R.R. at 431, and 29 S.R.R. at 664; *Independent Ocean Freight Forwarder License -E L. Mobley Inc.*, 21 F.M.C. 849, 855 (ALJ 1978) *partially adopted* (1979).

D. Multiple Violations of Commission Regulations Warrant Revocation

A license may be revoked for “Violation of any...Commission order or regulation related to the carrying on the business of an ocean transportation intermediary.” 46 C.F.R. § 515.16(a)(1). (no change in this regulation by 2015 amendments). The record establishes multiple violations and a continuous disregard of the Commission’s regulations by Washington Movers.

Respondent's violations of Commission regulations date to 2008 when it changed its corporate name without notice to or prior approval of the Commission. Respondent incorporated in Virginia in 1996 as Washington Movers, Inc. (FF1.) The corporation was issued an OTI license in that name, first in 2003 as an Ocean Freight Forwarder (OFF), and then in 2005 as a Non-Vessel Operating Common Carrier (NVOCC). (FF 4.) In November 2008, Washington Movers, Inc. changed its name in Virginia to Washington Movers International, Inc. (FF9; BOE Ex. 6.)

Respondent failed to notify or seek prior approval from the Commission for the name change (FF 11-12) in violation of 46 C.F.R. § 515.18(a)(5) (cited regulation in effect at the time and requirement carried forward as § 515.20(a)(4) by 2015 amendment). This regulatory requirement is essential to the Commission’s responsibility to the shipping public. An OTI license is issued only in the name of the applicant, its use is exclusively limited to the named licensee, and it shall not be transferred without prior approval of the Commission. 46 C.F.R. § 515.14(b) (substance of this regulation virtually unchanged by 2015 amendments). The limitations on the use of a license and requirement for prior approval for its transfer help ensure that the shipping public can determine whether a particular company is licensed and properly bonded to operate as an OTI. Respondent’s failure to comply with this requirement subverts the mission of the FMC.

The Commission also requires licensees to notify it of any changes in fact from the information provided in its original license application on the FMC's Form 18 (FMC-18). 46 C.F.R. § 515.12(d) (citation is to pre-amendment regulation – 2015 amendments brought requirements forward in §§ 515.12(e) and 515.20(e). *See* BOE Ex. 34). Changes must be reported within 30 days. *Id.* Respondent's FMC-18 requested the identity of its owners, officers, and directors and information as it relates to those persons' financial and criminal histories. (BOE Ex. 36.) Washington Movers identified Sam Ghanem as sole officer and owner of the company (FF 6.) According to its 2014 Annual Report to the Commonwealth of Virginia, Sam Ghanem did not remain the sole officer of the company. Information on file at the time with Virginia was used to prepare the report. (FF 36-37.) In addition to Sam Ghanem, the Annual Report showed Sajih Ghanem, Hanan Halabi, and Sandra Rodriguez as company officers.⁴ (FF 38.) Updates made to the information on file in Virginia show that Sonia Kaovech was added as an officer (BOE PFF 37), while Sajih Ghanem (FF 43) and Hanan Halabi were deleted (FF 47). Sonia Kaovech was deleted on the 2015 Annual Report. (BOE PFF 38.) Sandra Rodriguez later left the company (BOE PFF 40) and is no longer one of its officers (BOE PFF 41).

Washington Movers never reported to the Commission that these persons ever held or were removed from positions of corporate authority. (FF 44, 48, 50.) The Commission's regulations require that *any* change in fact, e.g. any addition or removal of a company officer, be reported. 46 C.F.R. § 515.12(d) (citation is to pre-amendment regulation – 2015 amendments brought requirement forward with respect to licensees in § 515.20(e). *See* BOE Ex. 34). The reporting requirement is a continuing obligation as each change occurs. Consequently, each failure to report

⁴ The report also showed Norma Ghanem as a company officer and director. Her title is shown as Office Manager.

a change constitutes a separate violation of that regulation. Respondent failed to comply with this requirement on multiple occasions.

Respondent also failed to report the transfer of ownership of Washington Movers from Ghanem to Norma Ghanem which occurred on December 31, 2013. (FF 29.) On January 1, 2014, Ghanem resigned or was removed as an officer and director, and Norma Ghanem was appointed the company's sole officer (President, Secretary, and Treasurer) and director. (FF 31.) Respondent did not report any of these changes. (FF 30, 32.) Yet again, Washington Movers chose to ignore the requirements of the Commission' regulations. 46 C.F.R. § 515.12(d) (citation is to pre-amendment regulation – requirement was carried forward by 2015 amendments in § 515.20(e)).

By concealing the change in ownership and officers, Respondent also ran afoul of the requirement to replace its Qualified Individual (QI). A QI is foundational to obtaining an OTI license as it is that person's qualifications which measure the character of a corporation. 46 C.F.R. § 515.11(b) (QI of a corporation must be an active officer of the company) (no change in this requirement by 2015 amendments). When the QI is no longer of the required character or the individual's status with the company changes (such as no longer serving as an active officer), the individual is no longer eligible to be the licensee's QI. Within 30 days of occurrence of these events, the licensee must report the changes to the FMC and file a new FMC-18 proposing a replacement QI. 46 C.F.R. §§ 515.12(d), 515.18(c) (these pre-amendment requirements were carried forward by 2015 amendments in §§ 515.20(a)(5), (c) and (e)).

When Ghanem resigned or was removed as a corporate officer on January 1, 2014, he was no longer eligible or qualified as Respondent's QI. 46 C.F.R. § 515.11(b)(3) (no change to this regulation by 2015 amendments). His resignation/removal triggered the 30-day requirement for reporting and proposing a replacement QI. Respondent did not comply with the requirement (FF

8, 33), and thus violated Commission regulations § 515.12(d) and § 515.18(c) (these pre-amendment requirements carried forward by 2015 amendments in § 515.20(c) and (e)).

Finally spurred into action when its license was in jeopardy by commencement of this proceeding, Respondent filed an application for a replacement QI with its initial response to the Commission's Order To Show Cause. (Respondent's Reply To Order To Show Cause, Nov. 2, 2015, p. 2; Tr. of Nov. 9, 2016 Hearing p. 27 ll. 19-22.) However, it voluntarily withdrew that application (Tr. of Nov. 9, 2016 Hearing p. 28, ll.1-4), and has not filed any further applications to replace its QI (Tr. of Nov. 9, 2016 Hearing p. 29, ll.1-4). Nonetheless, Respondent candidly admits that it continues to operate without a Qualified Individual in continued defiance of Commission regulation. (Tr. of Nov. 9, 2016 Hearing p. 27 ll. 12-18, p. 29, ll. 1-4.)

Washington Movers' ongoing failure to maintain a QI since January 2014 in itself warrants revocation of its OTI license. In *Revocation of OTI License No. 016019N – Central Agency of Florida, Inc.*, 31 S.R.R. 486 (FMC 2008), the QI resigned and the company never nominated a replacement. The Commission found that the company's failure to maintain a QI violated Commission regulations and warranted revocation on this basis alone. More recently in *Revocation of License No. 022025 – Cargologic USA LLC*, 33 S.R.R. 666 (FMC 2014), revocation was ordered following resignation of the licensee's QI and the company's failure to seek approval of a replacement. Similarly, Washington Movers' failures to report the resignation or removal of its QI and seek a replacement are sufficient cause to revoke its OTI license.

The record demonstrates that Washington Movers' multiple failures to comply with Commission regulations is willful, habitual, and evidences a consistent disregard of the law. Critical to a determination of an OTI's fitness as a licensee is that it, "will obey the Commission's rules and policies." *Harry Kaufman d/b/a International Shippers Co. of N.Y. – supra*, 16 F.M.C.

at 271. Compliance with the law is such an important element of character of a licensee that its license may be taken for its failure to abide by the Commission's regulations. *Id.* at 272; 46 C.F.R. § 515.16(a)(1) (no change in this regulation by 2015 amendments). Washington Movers' long record of continued non-compliance is yet an additional ground for revocation of its OTI license.

E. Changes to Commission Regulations Do Not Effect Issues In This Case

In 2013 the Commission undertook a review of its regulations governing Ocean Transportation Intermediaries in 46 C.F.R. Part 515 and proposed a broad range of changes through an Advanced Notice of Proposed Rulemaking (ANPR). *Amendments to Regulations Governing Ocean Transportation Intermediary Licensing and Financial Responsibility Requirements, and General Duties - Advance Notice Of Proposed Rulemaking*, 78 FR 32946 (May 31, 2013). The Commission received public comments and thereafter published a Notice of Proposed Rulemaking, 79 FR 61544 (October 10, 2014). Following submission of additional comments, the Commission adopted final rules in *Ocean Transportation Intermediary Licensing And Financial Responsibility Requirements, And General Duties; Final Rule*, 80 FR 68722 (Nov. 5, 2015), effective December 9, 2015, reported at 33 S.R.R. 1319.

The primary changes by the amendments, as summarized in the Supplementary Information accompanying the Final Rule, were: the addition of an OTI license renewal requirement through a simple on-line process; provision for on-line verification of NVOCC compliance with Commission regulations; and an expedited hearing process for license denials, suspensions, and revocation. The Final Rule did not substantively alter the requirements to obtain or retain an OTI license, or the responsibilities to the Commission of a licensee.

In an Order On April 5, 2017, Telephone Status Conference, the ALJ instructed BOE to address any effect this rule change may have on this proceeding. As an aid in addressing this issue,

BOE prepared what has been submitted as BOE Ex. 34 and 35 in BOE's Appendix. BOE Ex. 34 reflects the language of the pertinent regulations involved in this proceeding as it existed prior to the December 9, 2015 effective date. It also reflects the corresponding and replacement sections on and after the effective date. The exhibit contains the amended language if language was changed. It also specifies the absence of change to a relevant section. Provisions that were moved or renumbered are also identified.

BOE Ex. 35 is a table designed to compare the applicable regulations before and after the effective date and indicate whether any change in the amended regulation affects this proceeding. The first column on the far left states the nature of the violation charged by BOE as the basis for revocation. Reading left to right, the next column, entitled "Description of Supporting Violation" describes the specific violation alleged. The next column, entitled "Date of Event Underlying Violation", states the date of the event giving rise to the violation. As a point of explanation, the dates shown for the failure to report violations (i.e., the arrest of Sam Ghanem, and changes in ownership, officers, and the QI) are the dates of the occurrence. The date of the violation emanating from that event would be the 31st day following the listed date as the governing regulation required report to the Commission within 30 days of the event. Inasmuch as Respondent failed to notify the Commission of any of these events at any time, it was believed unnecessary to include a separate column indicating a specific date of violation. The next column, entitled "Governing Regulation at Commencement of Proceeding", identifies the particular regulation violated when this proceeding was instituted which was also prior to the effective date of the amendments. The next column, entitled "Continued Requirement Under Dec. 9, 2015 Amendments", indicates whether the requirement under the pre-amendment regulation was carried forward by the amended regulations and identifies the amended regulation. The final column,

entitled “Effect of Amendment On Violation”, states whether the amendment of the regulations which provide the basis for revocation of Respondent’s license have any effect in this proceeding.

As indicated in BOE Ex. 35, BOE submits that the amendments to the Part 515 regulations effective Dec., 9, 2015, have no substantive effect in this case. The substantive provisions of the regulations which provide the basis for revocation in effect prior to the amendments were carried forward by the 2015 amendments.⁵ Consequently, even if those amended provisions were applied to the facts of this case, there would be no change in the result. Nonetheless, in adopting the final rule, the Commission did not state, suggest, or imply that they should have any retroactive application to events that occurred prior to their effectiveness.

The amendments did create a new expedited procedure for, as pertinent, license revocations. 46 C.F.R. § 515.17. Because the new procedure did not become effective until Dec., 9, 2015, it was not available when this proceeding was commenced October 8, 2015, by the Commission’s Order To Show Cause. The Order To Show Cause cited the substantive laws and regulations in effect at that time as the basis for commencing the proceeding and for the procedures to govern this proceeding. Based on the general rule that, “laws are not applied retroactively and ‘the presumption against retroactive legislation is deeply rooted in our jurisprudence.’” *Bowyer v. District of Columbia*, 779 F. Supp. 2d 159, 163 (D.D.C. 2011) (quoting *Landgraf v. USI Film Products*, 511 U.S. 244, 265 (1994)), the proper regulations to apply in this case are those in effect at the time the violations occurred.

Agency rulemaking authority is governed by the Administrative Procedure Act (APA), 5 U.S.C. § 553. Congress specifically authorized the Commission to promulgate regulations in

⁵ We would note that Sandra Rodriguez left the employ of Washington Movers and was no longer one of its corporate officers in later 2016. *See* BOE PFF 39-40. If the new rules were applied in this case, this change in material fact was required to be reported to the Commission within 30 days. *See* current § 515.20(e).

carrying out its responsibilities under the Shipping Act. 46 U.S.C. § 305. Absent clear statutory authority and direction from Congress, “a statutory grant of legislative rulemaking authority will not, as a general matter, be understood to encompass the power to promulgate retroactive rules....” *Bowen v. Georgetown Univ. Hosp.*, 488 U.S. 204, 208 (1988). The APA defines a rule as: “the whole or a part of an agency statement of general or particular applicability and *future effect* designed to implement, interpret, or prescribe law or policy or describing the organization, procedure, or practice requirements of an agency...;” 5 U.S.C. § 551(4) (emphasis added). “Future effect” to mean that, “rules have legal consequences only for the future.” *Bowen* at 216 (Scalia, J., concurring).

Neither the APA nor the Shipping Act provide the Commission with authority to issue retroactive rules. Nor, as noted above, did the Commission state or suggest the possible retroactive application of the amended rules. BOE submits that the 2015 amendments have no effect on this proceeding.

V. CONCLUSION

There are no material facts in dispute in this proceeding. The arrest, indictment, and conviction of Ghanem are established and Respondent’s failure to comply with its regulatory obligations are conceded. This is not the case of a rogue employee acting outside the scope of his employment. Ghanem was the sole owner, President, and approved QI of Washington Movers. In practical effect, he was Washington Movers. He answered to no one and controlled every aspect of the company’s operations. In this capacity, he was able to use Washington Movers, its employees, its facilities, and its license, as the instrumentality to commit his crime. The shipment documentation confirms that this is precisely what he did.

Nor is this a matter of an unsophisticated company inadvertently overlooking its regulatory obligations. Respondent has been regulated by the Commission since 2003 and has operated within the shipping industry throughout this period. It is familiar with the requirements of the Commission's regulations and the consequences of non-compliance. Further, it routinely conducted business with customers, ocean carriers, and financial institutions in various commercial transactions. It was therefore conscious and well aware of the impact on its business if it became known that Sam Ghanem was no longer running the company. Thus, it served Washington Movers' economic interests to continue holding Ghanem out to the public as the person in charge. The documentation submitted in this proceeding demonstrates that this is precisely the course of action implemented by Respondent in allowing him to negotiate and sign service contracts, open and use bank accounts, and carry on business as usual. It is not believable that Respondent's management was unaware that Ghanem was acting in this representative capacity without its knowledge. But even if true, Washington Movers was responsible for putting Ghanem in a position to hold out as such and, of course, it ratified those actions by accepting the benefits and consequences of those actions.

Throughout this period when Ghanem was purportedly removed as owner and an officer of the company, Respondent elected to ignore the various Commission's requirements set forth herein. Significantly, it was operating throughout this period, and still is, without an approved QI. And based on its multiple failures to comply with Commission regulations, it appears that current management of the company lacks the necessary qualifications to fill the void.

Washington Movers' acts and omissions subsequent to Ghanem's crime reflect adversely on its honesty and integrity and character to meet its obligations to the shipping public and the Commission. BOE submits that based on the substantial evidence of record in this proceeding,

the Commission should find that Washington Movers is not qualified to render intermediary services and order revocation of license number 017843.

Respectfully submitted,

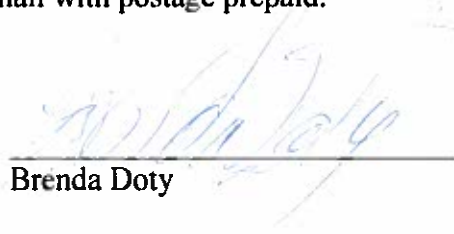
A handwritten signature in dark ink, appearing to read "Brian L. Troiano", is written over a light gray circular stamp.

Brian L. Troiano, Deputy Director
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CERTIFICATE OF SERVICE

I hereby certify that on this **5th** day of May, 2017, a copy of the foregoing **Opening Brief Of The Bureau Of Enforcement, Proposed Findings Of Fact Of The Bureau Of Enforcement, and Appendix To The Opening Brief Of The Bureau Of Enforcement** has been served upon counsel for Respondent via email and by first class mail with postage prepaid.



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